KLYARA

THE BACK OFFICE FOR BUILDERS

Making Tax Digital for tradesmen.

The plain-English guide, 2026 edition.

From April 2026 the way sole traders and subcontractors report to HMRC changes completely: digital records, four quarterly updates a year, and penalties that arrive on points like a driving licence. This guide covers the entire system in plain English, including the parts other guides quietly skip. Read page 2 and you know enough. Read all of it and you know more than most people who will try to charge you for the answer.

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Q1 due 7 Aug

Q2 due 7 Nov

Q3 due 7 Feb

Q4 due 7 May

Free to share · general guidance, not tax advice · rules as at publication, verify at gov.uk · klyara.com

CHAPTER 01

The whole system on one page.

Everything that matters, condensed hard. Each line expands into a full page later, but this page alone puts you ahead of most of the trade.

THE 30 SECOND VERSION

- Digital records from April 2026 for sole traders over 50,000 pounds of gross income, dropping to 30,000 in 2027 and 20,000 in 2028.
- Four quarterly updates a year, due the 7th of the month after each quarter. No tax is calculated or due at those points.
- One final declaration by 31 January replaces the Self Assessment return, and the payment dates do not move.
- CIS deductions do not reduce the measure: HMRC counts your gross invoiced income, before the 20 percent comes off.

	THE SHORT VERSION
What	Making Tax Digital for Income Tax replaces the single annual Self Assessment with a rhythm: digital records kept as you go, a summary of income and expenses sent to HMRC every quarter from recognised software, and one final declaration that settles the year. Paper and retyping into the HMRC website no longer count.
Who	Sole traders and landlords, judged on GROSS qualifying income: self-employment turnover plus property income, per person, per tax year. Over 50,000 pounds: in from April 2026. Over 30,000: April 2027. Over 20,000: April 2028. Gross means before CIS deductions come off, measured on what you invoiced, not what reached the bank.
When	Standard quarters end 5 July, 5 October, 5 January and 5 April; each update is due by the 7th of the following month (7 Aug, 7 Nov, 7 Feb, 7 May). The final declaration and the tax payment stay exactly where they always were: 31 January, with payments on account on 31 January and 31 July.
Stakes	Each late update earns a penalty point; the fourth point triggers a 200 pound fine, then every further late filing is another 200. Late payment is separate and worse: 3 percent of the unpaid tax at day 15, 3 percent more at day 30, 10 percent a year after that, plus interest throughout.
The fix	One habit and four diary dates. Photograph every receipt the moment it exists (ten seconds), let recognised software assemble the quarters, and file by the 7ths. Setup honestly takes one afternoon; page 11 is that afternoon, step by step.

THE ENTIRE GUIDE IN ONE SENTENCE

If you stopped reading here you would be fine: separate business bank account, recognised software with the bank feed on, photograph every receipt, file by the four 7ths, declare by 31 January. The remaining ten pages exist because the details are where the money hides.

A note on who this is for: this guide speaks to sole-trader builders and CIS subcontractors, the people mandated first and served worst. Limited companies are not in this wave: directors file company accounts exactly as now, and should ignore anyone using MTD panic to sell them things.

CHAPTER 02

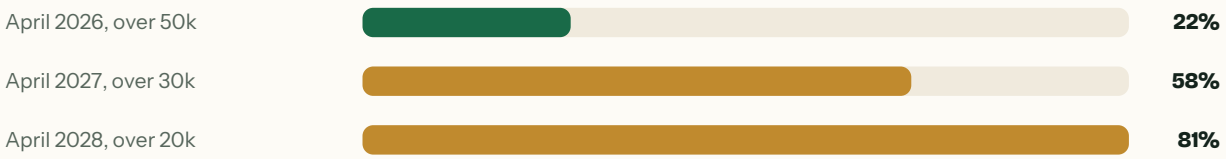
Are you in? The thresholds, and the trap inside them.

Three waves, one measuring rule, and a detail about CIS that moves thousands of subbies a full year earlier than they believe.

WAVE	WHO JOINS	WHAT TO DO NOW
April 2026	Gross qualifying income over 50,000 pounds in your 2024-25 return. You should already be filing quarterly.	If this is you and you are not in the system, treat it as this week's problem: points are accruing.
April 2027	Over 30,000 pounds, measured from the 2025-26 return. This is the big one for the trade: most full-time subbies clear 30k gross without trying.	Spend the year ahead getting records digital so day one is a non-event. The habit costs ten seconds a day.
April 2028	Over 20,000 pounds. Essentially every full-time self-employed tradesperson bar genuine part-timers.	Nothing urgent, but starting the receipt habit now removes the cliff entirely.

The CIS trap: gross means gross.

Who each wave catches, share of self-employed trades



Cumulative share in scope. The 2027 wave is the one that catches most full-time subcontractors.

Your threshold figure is what you INVOICED, not what you banked. Invoice 55,000 pounds of labour in a year and receive 44,000 after the contractor's 20 percent CIS deductions: HMRC counts the 55,000, and you are in the first wave. Whole forum threads are getting this wrong right now, usually by reading their bank statement instead of their sales ledger. Check the top line of your last tax return: the turnover box, not the profit box and not the bank balance.

Property income counts too, and stacks.

Qualifying income is self-employment PLUS property, added together per person. A subbie invoicing 24,000 with a rental bringing 8,000 sits at 32,000: inside the April 2027 wave even though neither activity alone crosses the line. Couples who split a rental each count their own share only.

Getting out again is harder than getting in.

Once mandated you generally stay in, with an exit only after your reported income sits below the threshold for consecutive years, and a formal process even then. Plan on MTD being permanent from your join date, because in practice it is. A genuine digital-exclusion exemption exists for those who truly cannot use software (age, disability, remoteness, religious grounds): rarely granted for reluctance, real for need.

DO THIS TONIGHT

Do the check tonight: last tax return, turnover plus property income, before CIS deductions. Over 30k: your date is April 2027 and your preparation year is already running. Over 50k: you are late, and the honest advice is to get help this month rather than perfect help eventually.

CHAPTER 03

Your MTD year, quarter by quarter.

The tax year still runs 6 April to 5 April. It just gains four checkpoints, and one late-winter fortnight where the old year and the new one briefly overlap.

PERIOD	COVERS	DUE	WHAT HAPPENS
Quarter 1	6 Apr - 5 Jul	7 Aug	First update of the year. Income and expense totals to date go to HMRC from your software. No payment attached.
Quarter 2	6 Jul - 5 Oct	7 Nov	Second update, cumulative: it restates the year so far, which is why an error in Q1 quietly self-corrects here.
Quarter 3	6 Oct - 5 Jan	7 Feb	The crunch quarter: this lands one week after the 31 January finale for the PREVIOUS year. Firms without the receipt habit relive January twice.
Quarter 4	6 Jan - 5 Apr	7 May	Final update. Your software now holds a complete, live picture of the year: the finale becomes an admin task instead of an archaeology dig.
Year end	full year	31 Jan	Final declaration: adjustments, other income, reliefs, then the legal declaration and the balancing payment, plus the first payment on account for the new year.

The calendar-quarter election.

If your head works in calendar months you can elect quarters ending 30 June, 30 September, 31 December and 31 March instead. Due dates stay the 7th of the following month either way. Most builders stay standard; the option matters if your invoicing already runs month-end, and it is a one-tick choice in the software, made once.

Why late winter is the pinch, and how to remove it.

> **A quarterly update is a postcard, not a tax return. Nothing is calculated, nothing is due, and any error washes out by the fourth one.**
>
> THE SINGLE MOST USEFUL SENTENCE IN THIS GUIDE

31 January settles last year; 7 February files this year's third quarter. Under the old system January was a month of reconstruction: a carrier bag of receipts, a search history full of 'can I claim', and a bill that arrived as a surprise. Under MTD with live records, both dates are button-presses, because the work happened ten seconds at a time across the year. The pinch only survives for firms that kept the old habits inside the new system.

KEY FIGURE
4
updates a year, none with tax attached

KEY FIGURE
7th
of the month after each quarter: the only new

KEY FIGURE
31 Jan
unchanged: declaration and payment day

KEY FIGURE
0
change to HOW MUCH tax you owe

CHAPTER 04

Inside a quarterly update.

Less than people fear: a categorised summary, not a tax return. Knowing exactly what is in one removes most of the dread and all of the mystique.

A quarterly update is the totals of your business income and expenses for the year so far, split into HMRC's standard categories, transmitted from recognised software. That is the entire object. There is no tax calculation to agree, no legal declaration of final accuracy, no payment demand, and no human at HMRC reading it line by line. Think of it as a running scoreboard that proves your records exist and are digital.

The categories your records should match from day one.

Set your software's expense categories to HMRC's standard lines and every quarter assembles itself. For a builder the ones that matter: cost of goods (materials), subcontractor costs (CIS payments you make), wages and staff costs, motor and travel, tools and equipment, phone and office, insurance, professional fees, and use of home. Invent your own taxonomy instead and every quarter needs translating by hand, forever.

Cumulative, correctable, calm.

THE ORDER

1. **Capture as you go**
   Photograph each receipt when it exists. The record is made once, at the moment of spending, and never again.
2. **Categorise weekly**
   Ten minutes, or none at all if your bookkeeper does it. Categories match the boxes HMRC expects.
3. **Review the quarter**
   One look at the summary before it goes. Anything odd surfaces here, not at year end.
4. **Send from software**
   The digital link is the legal requirement. No retyping into a portal at the deadline.
5. **Forget about it**
   No tax is due. The next thing that matters is the following quarter.

Updates restate the year to date, so a mistake in Q1 is corrected simply by having the records right by the next update: no penalty for revisions, no confession letter, no drama. This is the single most misunderstood fact in the system, and it changes the correct strategy completely: file ON TIME with your honest best numbers, never miss a deadline chasing perfection. The deadline is sacred; the figures are drafts until year end.

What 'digital records' legally means.

Each transaction recorded digitally, close to when it happens, with the digital journey unbroken from record to HMRC. Photographing a receipt into software counts. A spreadsheet feeding bridging software counts, barely, and recreates the old scramble four times a year. A drawer of paper totted up on a calculator and typed into a website does not count at all, which retires a workflow half the trade still runs.

THE DIGITAL TEST

Ten-second test for any process you are offered: does the number travel from the moment of purchase to HMRC without a human retyping it? Yes: compliant and painless. No: technically fixable, practically miserable.

CHAPTER 05

Year end: the final declaration, payments, and where refunds live.

The finale replaces the Self Assessment return, and for anyone with live records it is the anticlimax it should always have been.

After Quarter 4 you finalise the year: accounting adjustments (capital allowances on the van and tools, use-of-home, private-use splits, stock if you carry it), any other income (employment, interest, dividends, that rental), and reliefs and allowances. Then one legal declaration by 31 January, and payment of what is due. The mechanics will feel familiar from Self Assessment; the difference is that the numbers already exist, reconciled, instead of being reconstructed from memory in a cold January.

Payments: nothing moved.

The balancing payment for the year and the first payment on account for the next both fall on 31 January; the second payment on account falls on 31 July. Payments on account remain two advance instalments based on last year's bill, waived when the bill is small or mostly settled at source. MTD changes none of this machinery. What it changes is visibility: your software shows the liability building all year, so the January number is confirmation, not ambush.

A worked example, rounded for sanity.

A subbie invoices 48,000 in the year. Contractors deducted 20 percent CIS on the labour: call it 8,600 already sitting with HMRC against his name. After expenses his actual tax and Class 4 NI come to 7,100. The final declaration nets the two: HMRC owes HIM 1,500, refunded after filing. This is the normal shape for CIS subbies: deductions at 20 percent of gross usually beat the true liability after expenses, which is why the refund exists, and why filing early every year is free money brought forward.

WHY EARLY FILERS WIN

Refund speed follows record quality. Clean, software-kept books with every deduction statement attached: refunds in days to weeks. A shoebox reconstruction with missing statements: months of correspondence. Same money, different summer.

KEY FIGURE
31 Jan
declaration + balancing payment + first POA

KEY FIGURE
31 Jul
second payment on account

KEY FIGURE
~1.5k
the shape of a typical subbie refund

KEY FIGURE
Apr
file from April, bank the refund early

CHAPTER 06

Penalties: points, percentages, and the escape hatch.

Two separate machines: one punishes late paperwork gently then firmly, the other punishes late money immediately and expensively. Know which is which.

Machine one: late submissions earn points.

Each late quarterly update or late final declaration earns one penalty point. On a quarterly cycle the threshold is FOUR points: reach it and a 200 pound penalty lands, and every further late submission while you remain at the threshold is another 200. Points are per-tax, not per-mistake-forever, and, crucially, they expire.

POINTS	MEANING
1 to 3	Warnings in all but name. No money leaves. A nudge to fix the process, not a punishment.
4	Threshold reached: 200 pound fixed penalty.
4+	Every subsequent late submission at threshold: another 200, each time, no upper limit.
Reset	A full clean streak (24 months of on-time submissions on a quarterly cycle, with all outstanding filings made) wipes the counter to zero. Recovery is designed into the system.

Machine two: late payment costs percentages.

Nothing for the first 14 days after a missed payment. From day 15: 3 percent of the unpaid tax. Still unpaid at day 30: 3 percent more. Beyond a month: 10 percent a year on the balance, plus late-payment interest running throughout at a rate pegged above base. On a 7,000 pound bill paid five months late, the add-ons comfortably clear 500 pounds: the most expensive borrowing you will ever accidentally arrange. If you genuinely cannot pay, a Time to Pay arrangement agreed BEFORE the deadline stops the percentage penalties; pretending it will sort itself does the opposite.

IF CASH IS TIGHT

Priority when money is tight: file on time even if you cannot pay on time, then ring HMRC for Time to Pay before the due date. Filing late earns points AND signals chaos; filing on time while arranging payment keeps both machines calm.

CHAPTER 07

CIS and MTD together: the builder's chapter.

07

Nothing in CIS changes. But the two systems now touch every quarter, and four friction points are entirely predictable, entirely avoidable.

- Record income GROSS, deduction shown separately. Software set up wrong here understates income to HMRC (a compliance problem) and overstates what you think you earned (a lifestyle problem). Every decent product has a CIS switch: turn it on, on day one.
- Hoard deduction statements like receipts. Contractors must issue one within 14 days of each tax month's end. They are the evidence behind your refund: chase missing ones monthly, because chasing twelve of them in January is how refunds die.
- The 30 percent trap. Unregistered or mismatched details means 30 percent deductions instead of 20. Registration is free and immediate; if you have been on 30 for months, the overpayment comes back at year end, but only clean records get it back quickly.
- Materials on their own line, always. CIS deductions apply to labour only: invoices that split materials clearly keep that money untouched. Lump everything together and you invite over-deduction: an interest-free loan to HMRC until refund season.
- Reverse-charge VAT, for the registered. Most supplies between VAT-and-CIS-registered businesses carry no VAT on the invoice: the customer accounts for it instead. Miscoding this in digital records is the most common VAT error on sites today, in both directions.

If you also PAY subbies, your quarter has extra furniture.

Contractors verify each new subcontractor before first payment, deduct at the rate HMRC returns, file a CIS return by the 19th of every month (nil months included), pay deductions over by the 22nd, and issue statements. None of this is new and none of it is MTD, but under MTD your own quarterly updates sit beside it in the same software, which is precisely why construction-aware setup matters more here than in any other trade.

THE PRIZE

The compounding prize: gross recording, hoarded statements, split materials and on-time quarters do not just keep you compliant. Together they make the annual refund automatic, faster, and larger, because every deduction is evidenced and every expense is captured. MTD done right PAYS the average subbie.

CHAPTER 08

Software, records, and the ten-second habit.

What 'recognised' means, the truth about spreadsheets, what you must keep and for how long, and the one habit that makes the whole system weightless.

Recognised software, in one paragraph.

Filings must travel through software on HMRC's compatible list for MTD Income Tax (search 'find compatible software' on gov.uk). The list spans full bookkeeping platforms to minimal bridging tools. For a builder the features that matter: a bank feed, receipt photo capture, CIS handling (gross recording, deduction tracking, statement storage), and the quarterly button. Klyara runs client books on QuickBooks and Xero, both recognised; the honest advice is that ANY recognised product beats paper, and switching later is easier than starting later.

The spreadsheet myth, both halves.

No, a spreadsheet alone no longer qualifies: records must be digital with an unbroken digital journey to HMRC. Yes, a spreadsheet CAN remain part of the answer via bridging software that transmits its figures. But bridging preserves the worst part of the old system, the manual assembly, and repeats it four times a year. Proper software with feeds and capture costs a few pounds more and deletes the typing entirely. Bridge if you must; know what you are choosing.

What to keep, and for how long.

Digital records of each transaction; sales invoices (raised in the software, so automatic); the bank feed covers itself; mileage if claimed; and CIS deduction statements, always. Paper originals can generally be binned once captured legibly. Keep records at least five years after the 31 January filing deadline of the year they relate to: the software does this by existing, which is one more chore deleted.

The habit that carries everything.

Photograph every receipt the moment it exists: trade counter, fuel pump, cafe, ten seconds in the cab before the engine starts. The software reads it, codes it, attaches it. Do it for a fortnight and it becomes automatic; every Klyara client will tell you it is the single change that made the rest effortless. The shoebox era does not end with software. It ends with this habit inside the software.

THE FOUNDATION

Foundation move that makes every habit easier: a separate business bank account. Not legally required for sole traders, practically transformative: one account where every line is business means the feed does your bookkeeping. Mixed accounts mean deciding, one coffee at a time, forever.

CHAPTER 09

Six secrets other guides skip.

True, useful, and mysteriously absent from most MTD content. Each one is worth real money or real calm to somebody reading this page.

01

'Gross' is measured before CIS deductions.

Your bank total is not your income: invoice 55k, bank 44k, and HMRC counts the 55. This single detail moves most full-time subbies into the April 2027 wave, and a chunk into 2026. Measured on invoiced turnover plus property income, per person.

02

Penalty points expire: deadlines do not brand you.

A clean 24-month streak on quarterly filing, with everything outstanding submitted, wipes the counter to zero. One chaotic patch is recoverable by design. Never let an early stumble become fatalism, and never let anyone sell you panic.

03

Agent authorisation is the one step you cannot rush.

Letting a bookkeeper file for you means HMRC authorisation, and part of that machine still moves by post: allow a week or more. Every January, ready-to-file people sit waiting on an envelope. Start it the week you choose help, not the week before a deadline.

04

Quarterly updates are drafts, not verdicts.

They are cumulative and self-correcting; year end finalises everything. Send on time with honest best-available figures. The deadline is sacred, perfection is not: this mindset alone removes most of the fear, and all of the excuse for lateness.

05

You can join early, on purpose, and practice free.

Voluntary sign-up is open. A practice year while nothing is mandatory means your first real quarter is your fifth actual one. The calm people you will meet in 2027 all did this in 2026. Nobody advertises it.

06

Monthly VAT returns: the adjacent cash-flow trick.

For the VAT-registered: reverse charge turned many subbies into perpetual reclaimers, owed money every period. Switching to MONTHLY VAT returns brings that refund forward twelve times a year instead of four. Not strictly MTD, entirely real money, almost never mentioned.

CHAPTER 10

Ready in one afternoon, and every date to 2028.

Eight steps, in order, most of them minutes. Then the complete calendar so nothing between now and 2028 surprises you.

THE AFTERNOON, IN ORDER

1. **Confirm you are in**
   Last tax return: turnover plus property income, BEFORE CIS deductions. Over 50k: overdue. Over 30k: April 2027, and your prep year is running.

2. **Open the business account**
   Online, today, any bank. All business traffic moves to it from Monday. The single highest-leverage minute on this page.

3. **Choose the route**
   Software you drive, or a service that drives it. Decide in one sitting: both beat drift, and switching later is easy.

4. **Set up recognised software**
   Bank feed on, HMRC-standard categories, CIS switch on. Thirty minutes with a coffee.

5. **Start the receipt habit**
   Every receipt photographed at purchase. Ten seconds. No exceptions, no shoebox. This habit IS the system.

6. **Authorise your agent, if using one**
   Start now: the postal step eats a week you cannot compress in deadline season.

7. **Diary the dates**
   7 Aug, 7 Nov, 7 Feb, 7 May, 31 Jan. Phone reminders one week ahead of each.

8. **Run a practice quarter**
   Voluntary or dry-run, before the first real one. Mistakes in practice are free; the same ones later are 200 pounds.

EVERY DATE TO 2028 · GREEN REPEATS YEARLY, BRASS HAPPENS ONCE

7 AUG · 7 NOV · 7 FEB · 7 MAY	Quarterly updates due, every year, from your join date.
31 JANUARY	Final declaration, balancing payment, first payment on account.
31 JULY	Second payment on account. Unchanged since forever.
APRIL 2027	Threshold drops to 30,000: the trade's big wave joins.
APRIL 2028	Threshold drops to 20,000: essentially everyone full-time.

THE WHOLE JOB

Screenshot this page. Eight steps done and five dates in your phone, and this guide has finished its job.

CHAPTER 11

If you would rather it was done for you.

You now know the whole system, which means you can judge anyone who offers to run it. Including us. Here is the honest pitch, in the same plain English.

Klyara is a back office built only for construction: books, CIS, MTD, payroll, phones answered and work won. AI does the grunt work (reading receipts, assembling quarters, chasing invoices); a named construction specialist checks everything HMRC ever sees; and we never touch your money: payments always move from your own bank with your approval. Onboarding includes the backlog catch-up, the software, the HMRC authorisations, and the receipt habit demonstrated on your own phone with your own crumpled receipt.

PLAN	PRICE	BUILT FOR
Solo	59/mo	MTD done end to end for sole traders: records, four quarterly updates, final declaration, human-checked. The whole of this guide, delivered.
Start	99/mo	Full bookkeeping, VAT and MTD for the growing one-person firm.
Trade	199/mo	Books, CIS returns both directions, invoice chasing, quarterly reviews. The small-firm favourite.
Pro	329/mo	Everything, plus payroll priority and a monthly call. For firms of ten to twenty.

Prices ex VAT, monthly rolling with 30 days notice, one-off onboarding sized to your backlog and quoted exactly before you commit. Every plan includes recognised software, the portal, guaranteed deadlines, and a human who speaks site. Websites, phone answering, local search and the rest exist too: klyara.com has the lot, priced in the open.

BRING ONE QUESTION

The free next step: a 20-minute call where we answer one question from this guide against your ACTUAL numbers: your threshold date, your refund shape, your setup. No obligation, no sales voice. Book at klyara.com/contact, or just email hello@klyara.com.

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